

Apple Inc.

Passing the baton on Sep 1: Will Apple's risk appetite change under John Ternus?

Reiterate Rating: BUY | PO: 380.00 USD | Price: 316.83 USD

Extraordinary value creation under Tim Cook

Under Tim Cook, Apple has created market cap growth at a rate of roughly \$32 million an hour, every hour, for nearly 15 years or a total of \$4.5 trillion overall. Tim Cook took Apple from a company driven by a small number of product cycles into an institution capable of producing growth, cash flow, customer loyalty, and innovation at enormous scale and SKU complexity. Cook focused on driving growth in the installed base of devices, monetizing that base through services (Apple Pay, App Store, Apple Music, Apple TV+ etc.) with a focus on privacy. We expect much of the core of Apple to remain unchanged under incoming CEO John Ternus. Reit Buy on strong capital returns, eventually winner at AI at the edge & optionality from new products/markets.

From a cloud to an AI enabled future

The Tim Cook era saw the concurrent growth of the public cloud that enabled the use of cloud services like Uber, Maps etc that merged devices with useful services. We see the next era as one where devices combine AI features to become significant drivers of productivity. By combining Apple silicon, on-device processing, privacy, operating systems, personal context, and a vast installed base, Ternus could cement Apple's device dominance in an AI enabled era. Wearables (Glasses, ring, Airpods with cameras), smart home automation (extend TV to interface with home control and monitoring), virtual and physical personal assistants (including Robotics) could all be incremental areas of focus.

Can the risk taking appetite change?

Apple has moved away from a net cash neutral objective, which in our opinion, could signal a period of higher investment in R&D, Capex, and larger M&A. The latter two have not been emphasized in the Tim Cook era but AI could require Apple to move with a higher rate of change when the speed of innovation is accelerating with AI.

Scale of success makes hitting a home run harder

Apple is already so large, profitable, and deeply embedded in its customers' lives that incremental excellence may no longer be enough to redefine the company. Ternus's challenge will be to preserve the profitable machine Cook built while restoring a stronger sense of technological surprise.

Estimates (Sep) (US\$)	2024A	2025A	2026E	2027E	2028E
EPS	6.75	7.46	8.85	9.92	10.95
EPS Change (YoY)	10.1%	10.5%	18.6%	12.1%	10.4%
Consensus EPS (Bloomberg)			8.80	9.56	10.63
Consensus EPS (Visible Alpha)			8.83	9.50	10.56
DPS	0.99	1.02	1.07	1.12	1.18
Valuation (Sep)					
P/E	46.9x	42.5x	35.8x	31.9x	28.9x
Dividend Yield	0.3%	0.3%	0.3%	0.4%	0.4%
EV / EBITDA*	32.4x	30.1x	25.1x	23.5x	21.4x
Free Cash Flow Yield*	2.3%	2.1%	3.2%	3.3%	3.5%

* For full definitions of *IQmethod*SM measures, see page 4.

20 August 2026

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Stock Data

Price	316.83 USD
Price Objective	380.00 USD
Date Established	26-May-2026
Investment Opinion	B-1-7
52-Week Range	223.78 USD - 344.57 USD
Mrkt Val (mn) / Shares Out (mn)	4,653,395 USD / 14,687.4
Free Float	98.0%
Average Daily Value (mn)	16205.35 USD
BofA Ticker / Exchange	AAPL / NAS
Bloomberg / Reuters	AAPL US / AAPLOQ
ROE (2026E)	137.6%
Net Dbt to Eqty (Sep-2025A)	85.1%

Glossary:

SKU: stock keeping unit

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iQprofileSM Apple Inc.

iQmethodSM – Bus Performance*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Return on Capital Employed	55.0%	59.6%	64.2%	57.1%	51.8%
Return on Equity	187.3%	171.4%	137.6%	101.4%	77.5%
Operating Margin	34.5%	35.0%	36.8%	35.1%	36.0%
Free Cash Flow	108,807	98,767	146,857	152,243	162,590

iQmethodSM – Quality of Earnings*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash Realization Ratio	1.1x	1.0x	1.2x	1.2x	1.1x
Asset Replacement Ratio	0.8x	1.1x	0.7x	0.9x	0.9x
Tax Rate	14.4%	14.3%	15.6%	15.8%	15.6%
Net Debt-to-Equity Ratio	134.7%	85.1%	29.5%	-1.1%	-20.3%
Interest Cover	NM	NM	NM	NM	NM

Income Statement Data (Sep)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Sales	391,035	416,161	477,099	533,253	570,646
% Change	2.0%	6.4%	14.6%	11.8%	7.0%
Gross Profit	182,787	197,489	235,154	254,643	277,391
% Change	6.8%	8.0%	19.1%	8.3%	8.9%
EBITDA	146,349	157,333	189,020	201,817	221,968
% Change	7.1%	7.5%	20.1%	6.8%	10.0%
Net Interest & Other Income	(232)	(330)	762	(107)	259
Net Income (Adjusted)	103,982	112,010	130,298	143,922	156,221
% Change	7.2%	7.7%	16.3%	10.5%	8.5%

Free Cash Flow Data (Sep)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Net Income from Cont Operations (GAAP)	115,670	124,595	149,185	157,670	173,745
Depreciation & Amortization	11,445	11,698	13,324	14,563	16,485
Change in Working Capital	3,651	(25,000)	1,259	(9,316)	(13,374)
Deferred Taxation Charge	0	0	0	0	0
Other Adjustments, Net	(12,512)	189	(7,019)	2,657	0
Capital Expenditure	(9,447)	(12,715)	(9,892)	(13,331)	(14,266)
Free Cash Flow	108,807	98,767	146,857	152,243	162,590
% Change	9.3%	-9.2%	48.7%	3.7%	6.8%
Share / Issue Repurchase	(94,949)	(90,711)	(87,094)	(100,000)	(100,000)
Cost of Dividends Paid	(15,234)	(15,376)	(15,779)	(16,233)	(16,763)
Change in Debt	(9,958)	(6,451)	(8,146)	0	0

Balance Sheet Data (Sep)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash & Equivalents	29,943	35,934	47,203	83,213	129,040
Trade Receivables	66,243	72,957	70,252	82,265	93,735
Other Current Assets	56,801	39,066	45,237	45,257	45,323
Property, Plant & Equipment	45,680	49,834	53,113	60,310	67,633
Other Non-Current Assets	166,313	161,450	182,996	183,955	184,923
Total Assets	364,980	359,241	398,801	455,000	520,653
Short-Term Debt	20,879	20,329	10,000	10,000	10,000
Other Current Liabilities	155,513	145,302	146,731	150,368	149,501
Long-Term Debt	85,750	78,328	71,340	71,340	71,340
Other Non-Current Liabilities	45,888	41,549	55,051	55,090	55,087
Total Liabilities	308,030	285,508	283,122	286,798	285,928
Total Equity	56,950	73,733	115,679	168,201	234,725
Total Equity & Liabilities	364,980	359,241	398,801	455,000	520,653

* For full definitions of iQmethodSM measures, see page 4.

Company Sector

IT Hardware

Company Description

Apple Inc. (AAPL) designs, manufactures, and markets consumer electronics and computers, and has developed its own proprietary iOS, Mac OS, tvOS and Watch OS operating systems and related software platform/ecosystem.

Revenues are principally derived from the iPhone line of smartphones, Services, hardware sales of the Macintosh family of notebook and desktop computers, iPad tablets, and wearables.

Investment Rationale

Our Buy rating on Apple is based on 1) expected strong iPhone upgrade cycle in F26, F27 driven by the need for latest hardware to enable Gen AI features, 2) higher growth in Services revenue, 3) higher margins from more internally developed silicon, 4) continuing capital returns, 5) AI features that can drive higher institutional ownership, and 6) risk around legal issues being manageable.

Stock Data

Average Daily Volume 51,148,420

Quarterly Earnings Estimates

	2025	2026
Q1	2.40A	2.84A
Q2	1.65A	2.01A
Q3	1.57A	2.02E
Q4	1.85A	1.97E

Price objective basis & risk

Apple Inc. (AAPL)

Our PO of \$380 is based on 37x our C27E EPS of \$10.32. Our target multiple compares to the 5-year historical range of 19-35x (median 27x). We believe a multiple above the higher end of the historical range is justified given the significant opportunity in agentic AI as well as a multi-year upgrade cycle, large cash balance and opportunity to diversify into new end markets, improving mix and diversity of services.

Downside risks are a) weaker iPhone cycle on consumer spending risk, b) weaker near-term services trajectory where App Store & Licensing can decelerate, c) execution on agentic Siri, d) iPads/Macs reverting to pre-COVID levels, e) stronger dollar, f) antitrust lawsuit. Other risks are negative impact to licensing revenues from competing AI related search, potential trade conflicts, tariffs, longer iPhone replacement cycles, commoditization in the smartphone market, intensifying competition in the tablet market, ability to manage beat and raise expectations for EPS estimates, and requirement to maintain pace of product innovation.

Upside risks are a) stronger sales of Pro iPhone models which can help average selling price and help the mix of the business, b) est. revisions can be lower vs. peers, c) potential new products (AR/VR), and services (advertising). Other upside risks are stronger than expected iPhone cycle, gross margin upside from better mix of higher end iPhones, tailwinds from lower memory costs, and a faster than expected recovery in emerging markets.

Analyst Certification

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US - IT Hardware and Technology Supply Chain Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Amphenol	APH	APH US	Wamsi Mohan
	Apple Inc.	AAPL	AAPL US	Wamsi Mohan
	Bel Fuse Inc.	BELFB	BELFB US	Wamsi Mohan
	Celestica Inc.	CLS	CLS US	Ruplu Bhattacharya
	Celestica Inc.	YCLS	CLS CN	Ruplu Bhattacharya
	Corning Inc.	GLW	GLW US	Wamsi Mohan
	Dell Technologies Inc.	DELL	DELL US	Wamsi Mohan
	DigitalOcean	DOCN	DOCN US	Wamsi Mohan
	Flex Ltd.	FLEX	FLEX US	Ruplu Bhattacharya
	Hewlett-Packard Enterprise	HPE	HPE US	Wamsi Mohan
	Ingram Micro Holding Corporation	INGM	INGM US	Ruplu Bhattacharya
	International Business Machines Corp.	IBM	IBM US	Wamsi Mohan
	Jabil Inc.	JBL	JBL US	Ruplu Bhattacharya
	Nutanix Inc	NTNX	NTNX US	Wamsi Mohan
	Sandisk Corporation	SNDK	SNDK US	Wamsi Mohan
	Seagate Technology	STX	STX US	Wamsi Mohan
	TD Synnex Corp	SNX	SNX US	Ruplu Bhattacharya
	TE Connectivity Plc.	TEL	TEL US	Wamsi Mohan
	Western Digital Corporation	WDC	WDC US	Wamsi Mohan



US - IT Hardware and Technology Supply Chain Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
NEUTRAL	Arrow Electronics Inc.	ARW	ARW US	Ruplu Bhattacharya
	Avnet Inc.	AVT	AVT US	Ruplu Bhattacharya
	CDW Corp	CDW	CDW US	Ruplu Bhattacharya
	Concentrix Corporation	CNXC	CNXC US	Ruplu Bhattacharya
	Enovix Corporation	ENVX	ENVX US	Ruplu Bhattacharya
	Everpure Inc	P	P US	Wamsi Mohan
	NetApp Inc.	NTAP	NTAP US	Wamsi Mohan
	Sanmina Corporation	SANM	SANM US	Ruplu Bhattacharya
	Sensata Technologies Holdings Plc	ST	ST US	Wamsi Mohan
UNDERPERFORM	HP Inc.	HPQ	HPQ US	Wamsi Mohan
	Super Micro Computer Inc.	SMCI	SMCI US	Ruplu Bhattacharya
	Teradata Corporation	TDC	TDC US	Wamsi Mohan
	Vishay Intertechnology, Inc.	VSH	VSH US	Ruplu Bhattacharya

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity
Operating Margin
Earnings Growth
Free Cash Flow

Quality of Earnings

Cash Realization Ratio
Asset Replacement Ratio
Tax Rate
Net Debt-To-Equity Ratio
Interest Cover

Valuation Toolkit

Price / Earnings Ratio
Price / Book Value
Dividend Yield
Free Cash Flow Yield
Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income
Operating Profit
Expected 5 Year CAGR From Latest Actual
Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations
Capex
Tax Charge
Net Debt = Total Debt – Cash & Equivalents
EBIT

Numerator

Current Share Price
Current Share Price
Annualised Declared Cash Dividend
Cash Flow From Operations – Total Capex
EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities
Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill
Amortization
Shareholders' Equity
Sales
N/A
N/A

Denominator

Net Income
Depreciation
Pre-Tax Income
Total Equity
Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)
Shareholders' Equity / Current Basic Shares
Current Share Price
Market Cap = Current Share Price × Current Basic Shares
Sales
Basic EBIT + Depreciation + Amortization

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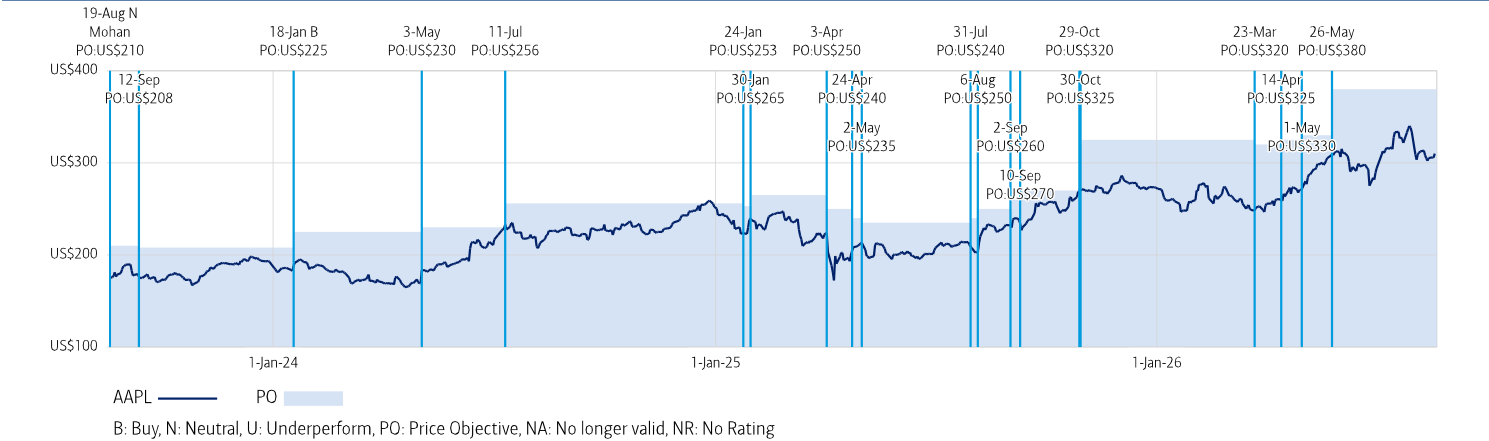
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Apple Inc. (AAPL) Price Chart



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Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

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Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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